

THE WALL STREET JOURNAL.

What's News

Business & Finance

- ◆ **Tesla's board started** a search for a chief executive to succeed Elon Musk at a time when sales and profit at the carmaker were rapidly deteriorating. **A1**
- ◆ **Apple said a majority of** its devices shipped to the U.S. in the June quarter will originate in India and Vietnam, a move to allay investor concerns about the impact of tariffs on its operations. **A1**
- ◆ **Amazon.com reported** strong quarterly earnings that weren't affected by new tariffs on Chinese imports, but the looming duties clouded the company's outlook. **B1**
- ◆ **Strong earnings from** big tech firms helped to boost U.S. stocks, with the S&P 500, Nasdaq and Dow rising 0.6%, 1.5% and 0.2%, respectively. **B1**
- ◆ **U.S. initial jobless claims** rose last week, reaching their highest level since February but remaining broadly within a range. **A5**
- ◆ **Kohl's fired** Chief Executive Ashley Buchanan after it found he instructed the retailer to enter into a "highly unusual" business deal involving a woman with whom he had a romantic relationship. **B1**
- ◆ **GM said it faces** \$4 billion to \$5 billion in tariff-related costs this year, which it aims to partially offset by reducing spending and increasing production in the U.S. **B1**
- ◆ **Citigroup hired** Trump's former trade chief, Robert Lighthizer, to advise the bank and its clients on how to navigate the global trade war. **A5**
- ◆ **Conagra Brands agreed** to sell Chef Boyardee to private-equity firm Brynwood Partners for \$600 million. **B1**

World-Wide

- ◆ **Trump is replacing** his national security adviser roughly a month after Mike Waltz put a journalist on a group text chat in which advisers discussed a sensitive military operation. **A1**
- ◆ **The looming demise of** a tariff exemption on inexpensive Chinese goods is causing big e-commerce players to raise prices and threatening the business models of smaller online retailers. **A1**
- ◆ **China said it was** weighing starting talks with the U.S. to halt a trade war, but only if Washington shows sincerity through concrete measures such as canceling tariffs against Beijing. **A16**
- ◆ **Trump is expected to** propose far-reaching cuts to environmental, renewable energy, education and foreign-aid programs in a budget blueprint that slashes nondefense discretionary funding by more than \$160 billion. **A2**
- ◆ **A judge ruled that** Trump's use of the wartime Alien Enemies Act to detain and deport alleged members of a foreign gang is unlawful. **A3**
- ◆ **The Justice Department** filed a complaint alleging some of the biggest Medicare insurers paid kickbacks to brokers that sell such plans. **A2**
- ◆ **The Pentagon inspector** general expanded an investigation into Defense Secretary Hegseth's sharing of military plans to a second Signal chat that included his wife and brother. **A4**
- ◆ **The Army embarked on** an overhaul to shed outmoded weapons and equipment and provide each of its combat divisions with around 1,000 drones. **A4**

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At White House, an Executive Order and a Prayer



CONGREGATION: President Trump is surrounded by religious leaders and supporters at a musical performance in the Rose Garden on Thursday for the National Day of Prayer. The president signed an executive order creating a religious liberty commission.

Tesla Board Opened Search For a CEO to Succeed Musk

About a month ago, with Tesla's stock sinking and some investors irritated about Elon Musk's White House focus, Tesla's board got serious about looking for Musk's successor.

By Emily Glazer,
Becky Peterson
and Dana Mattioli

Board members reached out to several executive search firms to work on a formal process for finding Tesla's next chief executive, according to people familiar with the dis-

cussions. Tensions had been mounting at the company. Sales and profits were deteriorating rapidly. Musk was spending much of his time in Washington. Around that time, Tesla's board met with Musk for an update. Board members told him he needed to spend more time on Tesla, according to people familiar with the meeting. And he needed to say so publicly. Musk didn't push back. Tesla has been on a losing streak in the months since Musk, its visionary chief exec-

utive, began spending much of his time helping President Trump slash federal spending. Last week, after the company said its first-quarter profit had plunged 71%, Musk told investors he would soon pivot back to his job at Tesla. "Starting next month," he said on a conference call about earnings, "I'll be allocating far more of my time to Tesla." The board narrowed its focus to a major search firm, according to the people familiar with the discussions. The current status of the succession

planning couldn't be determined. It is also unclear if Musk, himself a Tesla board member, was aware of the effort, or if his pledge to spend more time at Tesla has affected succession planning. Musk didn't respond to requests for comment. Tesla didn't provide a statement before a version of this article was published online. Hours after publication, Tesla issued a denial on X. Musk also criticized the article in a post on X. "The CEO of Tesla is Elon Please turn to page A8

President Ousts National Security Adviser

Waltz, to be replaced by Rubio for now, gets Trump's nod for U.N. ambassador

WASHINGTON—President Trump is replacing national security adviser Mike Waltz about a month after he put a journalist on a group text chat in which advisers discussed a sensitive military operation, making him the first top official to lose his job in Trump's second term.

By Josh Dawsey,
Alexander Ward and
Meridith McGraw

Trump wrote on social media on Thursday that Waltz would be nominated as U.S. ambassador to the United Nations. Secretary of State Marco Rubio will step in as interim national security adviser, Trump wrote, and he will continue to also serve in his current role. "From his time in uniform on the battlefield, in Congress and, as my National Security Advisor, Mike Waltz has worked hard to put our Nation's Interests first. I know he will do the same in his new role," Trump wrote on Truth Social. Waltz lost favor with the president and senior advisers after the Atlantic revealed that he added a journalist to a chat on the nongovernment

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Trump Budget Seeks Big Cuts

Spending plan is expected to target 'woke' programs, climate, housing..... **A2**

Temu and Shein Gird For End Of Tariff Loophole

By LIZ YOUNG
AND SHEN LU

The looming demise of a tariff exemption on inexpensive Chinese goods is causing big e-commerce players to lift prices and threatening the business models of smaller online retailers that deliver millions of products each year to U.S. consumers. The so-called de minimis provision that exempts packages of \$800 or less from duties is scheduled to end early Friday morning Eastern time for goods made in China and Hong Kong, after President Trump in early April ordered the end of the policy. The change will leave most shipments, including those carried by FedEx or United Parcel Service, subject to the new 145% base tariff on all Chinese products, as well as additional levies based on the nature of the products. Steep fees on packages containing merchandise from China shipped via the international postal network kick in at the same time. Use of the de minimis provision has skyrocketed in recent years with a surge of goods from bargain sites Shein and Temu, both of which already have been raising prices ahead of the exemption's end. About 1.36 billion shipments using the de minimis provision entered

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- ◆ **Tariff deadline spurs surge** in imports..... **A5**
- ◆ **Beijing says it may talk** with U.S. if tariffs end... **A16**

Amazon Braces for Trade Hit

Amazon.com posted strong quarterly earnings that weren't affected by new tariffs on Chinese imports, but the looming levies dimmed the company's outlook. **B1**



A Donkey Roundup Is Rocking A Southern California Community

Locals demand return of 256 burros that were taken out of state; looking for Big Red

By JIM CARLTON

COLTON, Calif. — Jeanette Burton braked an SUV to a halt while driving through Reche Canyon last week and approached a trio of wild burros lounging in a field. "You see how happy they are?" the 63-year-old gushed as the gray-colored females — one very pregnant — stared back blankly. "This is why we are fighting." The burros are among the lucky ones that evaded capture in a roundup that has rocked this bucolic canyon 60 miles east of Los Angeles. Over several weeks last winter, a Texas company called Peaceful Valley

Donkey Rescue corralled 256 of the 1,000 or so that roamed the area after some residents complained of property damage and road hazards. But the operation proved controversial as donkey defenders organized a Burro Watch and accused the company of mistreating animals and splitting up their families. Police were called to referee one showdown. San Bernardino County in January canceled its contract with Peaceful Valley. That hasn't stopped the braying. A petition began circulating for a sweet-faced foal named Tiny Red to be reunited with

Bray for me

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Apple Ditches China For Most U.S. Phones

By ROLFE WINKLER

Apple said a majority of its devices shipped into the U.S. in the June quarter will originate in India and Vietnam, a move to allay investor concerns about the impact of tariffs on its operations. The company was among the hardest-hit of the technology giants last month due to its exposure to China, a primary target of the Trump administration's global tariff pressure. Most of Apple's devices are assembled in China, and investors are closely watching the company's efforts to shift the final assembly of devices bound for the U.S. to

India and other countries. Shares dropped by about 4% in after-hours trading. Chief Executive Tim Cook said the impact in the June quarter from tariffs, assuming existing policies remain in place, would add \$900 million to Apple's costs, a figure he suggested could be worse in future quarters. Cook noted there was limited impact from tariffs in March. Apple reported sales rose in the January-to-March period,

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- ◆ **GM faces tariff bill of up** to \$5 billion..... **B1**
- ◆ **McDonald's revenue drops** as consumers pull back... **B2**

Trump Wants Used Jet As New Air Force One

President Trump is done waiting for Boeing. Frustrated by delays on a new Air Force One, Trump has commissioned a smaller defense contractor to ready an interim presidential plane by year's end, people with knowledge of the situation said.

By Andrew Tangel,
Josh Dawsey
and Sharon Terlep

Boeing will continue plugging away on a pair of Air Force One jets, which have fallen so far behind that Trump might not get to fly on them while in office. The U.S. government has commissioned L3Harris to overhaul a Boeing 747 formerly used by the Qatari government. The Melbourne, Fla.-based company is tasked with retrofitting the plane with sys-

tems to transform the luxury aircraft into a presidential jet, some of the people said. Trump wants it available as early as the fall, some of the people said. The White House, Boeing and L3Harris declined to comment. In his first term, Trump commissioned two new presidential planes to replace the current pair. They are among the world's most complex aircraft, with communications and defensive systems that serve as a command-and-control platform for the commander in chief. Boeing won the \$3.9 billion contract and at one point was expected to have the planes ready by last year. But it is now years behind schedule and billions of dollars over budget, after supplier, engineering and manufacturing setbacks.

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